

Indicative Term Sheet — Senior Secured Term Loan (Balloon)

Borrower: GrnBit (Cayman) Holdings
Project: Miracle Lake TX Phase 1 — OCTO AI industrial optimization validation site
Date: 2026-07-06
Status: Non-binding · discussion draft only · subject to counsel and credit approval

1. Facility

Term	Detail
Facility size	Up to \$3,000,000 aggregate commitments
Tranches offered	\$2,000,000 or \$3,000,000 (Borrower selects at close)
Excluded	\$1,000,000 — insufficient to fund site + container fixed costs
Minimum participation	\$250,000 per lender
Currency	USD
Purpose	Phase 1 capex: containers, miners, interconnect, energisation, OCTO deployment

2. Economics (live simulation inputs — 2026-07-06T19:57:10.914Z)

Input	Value
OCTO daily profit (optimized)	\$2,387
Edge vs baseline	+22.6%
BTC in model	\$63,581
Skill validation	simulation-validated

3. Commercial terms (fixed)

Term	Value
Maturity	48 months from first draw
Interest rate	12% per annum, fixed
Interest-only period	6 months from first draw (construction / energisation)
Post-IO payments	Sized to 1.3x target DSCR on tier-specific simulated monthly profit
Maturity payment	Balloon — unpaid principal balance after scheduled payments (refinance, sale, or new money)
Amortization	Not full self-liquidating — see Section 8

\$2,000,000 tranche

Item	Value
Build-out funded	129 miners / 210 (61%) · 2 container(s)
Tier monthly profit (sim)	\$44,600/mo
IO period	Months 1–6 · \$20,000/mo
IO-period DSCR	2.23x
Post-IO payment (target 1.3x DSCR)	\$34,308/mo
Balloon due month 48	\$1,257,733 (62.9% of principal)

\$3,000,000 tranche

Item	Value
Build-out funded	208 miners / 210 (99%) · 3 container(s)
Tier monthly profit (sim)	\$71,913/mo
IO period	Months 1–6 · \$30,000/mo
IO-period DSCR	2.4x
Post-IO payment (target 1.3x DSCR)	\$55,318/mo
Balloon due month 48	\$1,686,539 (56.2% of principal)

4. Security

- First-priority security interest in Miracle Lake Phase 1 equipment (containers, miners, PDUs, cooling).
- Assignment of power purchase / interconnect agreements where assignable.
- OCTO field-of-use license collateral assignment (scope per definitive docs).
- Corporate guarantee of GrnBit (Cayman) Holdings.
- Senior to equity, SAFE, and convertible notes.

5. Covenants (indicative)

- **Minimum DSCR (post-IO):** 1.3x tested quarterly on tier profit (live ops post-energisation; pre-energisation tests on lender-agreed budget).
- **Debt service reserve:** 3 months post-IO payments (negotiable).
- **Insurance:** Property, business interruption, liability — lender as loss payee.
- **No additional senior debt** without lender consent.

6. Events of default (indicative)

- Payment default (5-business-day cure for interest).
- DSCR below **1.15x** for two consecutive quarters post-energisation.
- Failure to refinance or repay balloon within 30 days of month-48 maturity.
- Insolvency, material misrepresentation, loss of power contract.

7. Conditions precedent (indicative)

- Executed vendor contracts matching locked quote IDs in Schedule C (`capex-quotes.json`).

- Independent engineer report on energisation timeline.
- UCC-1 / fixture filings perfected.
- Phase 1 interconnect and power contract in assignable form.

8. Structural rationale (transparency)

Full 48-month amortization at 12% implies ~**35%/yr** debt-service yield on principal. Simulation profit yield on funded capex is ~**29%/yr**. Natural full-amortization DSCR does not reach **1.3x** at any offered principal. The balloon structure sizes payments to the target DSCR band (**1.3x–1.5x**) and surfaces the remaining balance explicitly at maturity — not masked by an unfinanceable amortization schedule.

9. CAPEX model (locked vendor quotes)

Build-out sizing uses vendor quotes locked **2026-07-06** (see Schedule C):

- Site interconnect (Xplor): \$302,000
- Per-container (AntSpace HK3): $\$151,000 \times 3 = \$453,000$
- Per-miner variable (AntSpace): $\$10,786 \times 210 = \$2,265,000$

Lender to confirm quote validity dates and executed purchase orders before closing.

10. Disclaimers

Not an offer of securities. Not legal, tax, or investment advice. OCTO metrics are simulation-validated pending live energisation. Definitive documents control over this summary.

Contact: info@grnbit.digital · <https://grnbit.digital>